

Adapting Security: The Intersection of Türkiye's Foreign Policy and Defence Industrialisation

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*A lineup of Bayraktar Akıncı UAVs at Baykar's Flight Training and Test Center in Istanbul, 5 July 2022
(BAYKAR/Handout/Anadolu Agency via Getty Images)*

Executive Summary

Following decades of investment and reform, Türkiye's defence industry is emerging as a serious player in international defence markets. The path to its success, however, has not been straightforward. As an emerging power, Türkiye has had to balance its desire for strategic autonomy against a multitude of other factors, including relations with the United States, other NATO allies and the European Union. Moreover, just as domestic leaders have left their individual marks on Türkiye's foreign policy, they have also influenced the country's defence-industrial policies.

Ankara's defence interests have both reflected the international political system and been used by national decision-makers to help navigate international politics. For example, alignment with the US led to an influx of Western defence equipment during the early Cold War. Though this allowed the Turkish Armed Forces to rapidly modernise, the glut of equipment retarded the development of the country's nascent arms industry. Restrictions imposed on the use of US-supplied weapons during the Cyprus Crisis (1963–64) exposed the limits of US alignment. Also important have been the numerous arms embargoes (both official and unofficial) by allied states, which have perpetuated a sense of injustice within Türkiye and driven the country's defence-industrial policies.

As the Turkish economy began to liberalise in the 1980s, Türkiye's defence industry adapted by pursuing joint ventures with Western firms. In exchange for access to Turkish markets, Western companies brought in new technologies and capital to co-manufacture their products in Türkiye. By the early 1990s, the collapse of the Soviet Union also allowed Türkiye to establish good relations with the newly formed Russian Federation. At the same time, membership in the EU became a pivotal theme in Türkiye's post-Cold War foreign-policy trajectory.

Although defence-industrial relations and the Turkish arms market have played key roles in both Russian and European relations, Türkiye's endeavour to develop its defence industry was not only about increasing the quality of its domestic arms production. New partners also reflect Ankara's desire to diversify its defence-industry ties and to find alternatives to the Western suppliers that had been unreliable in the past. This would lead to highly controversial decisions such as the procurement of Russian S-400 (RS-SA-21 *Growler*) air defence systems, and the subsequent ejection of Türkiye from a project to jointly build the Lockheed Martin F-35 *Lightning II* combat aircraft.

By the 2010s, the first concrete results of indigenous designs and products began to emerge. The platform and system solutions that became available provided the Turkish military with cutting-edge capabilities tailored to its needs. This has helped alleviate a fear of abandonment and several of those indigenous solutions have also proved attractive among export customers. This has allowed Türkiye to position itself as a market disruptor, with its industry exhibiting strong growth and innovation. Yet, having experienced a remarkable expansion in its defence exports, Turkish industry and authorities are now under intense pressure to sustain this growth. The pressure to export at all costs risks damaging international relations and tainting Türkiye's image internationally – especially if decision-makers are unable to connect the direct linkage between defence exports and the responsibility of exporting governments. In this regard, today's multipolar system provides both opportunities and risks as Türkiye uses the availability of willing partners to prop up its defence-industrial capabilities and balance its new and emerging interests.

Introduction

In recent years, few arms deals have attracted as much attention and debate as Türkiye's 2017 decision to buy the Russian S-400 (RS-SA-21 *Growler*) air defence system. Following a decade of somewhat transactional relations with its Western allies, the decision to buy the S-400 precipitated a heated debate about Türkiye's foreign policy and defence alignment.¹ Seen by many as a harbinger of strategic realignment, Türkiye's decision to buy the S-400 gave rise to concerns that the NATO member was seeking to unilaterally deepen ties with Russia, further straining an already-tense relationship with its Western allies² and leading to Ankara's ousting from a project to jointly build the F-35. Though the debate largely subsided in the wake of Russia's February 2022 invasion of Ukraine – with Turkish military and diplomatic support being vital to Kyiv's war efforts – the seeming contradictions in Türkiye's strategic positioning and foreign policy remain.

To understand the differences between Türkiye's foreign policy and its striving for autonomy in arms acquisitions and development, analysts need to consider the multi-layered, multi-dimensional and dynamic relationships between Türkiye's foreign and defence policies. The international system is a major factor here, especially as Cold War alignment provided challenges and opportunities to Türkiye's foreign policy and, by extension, its defence policies. Similarly, the geopolitical shifts of the 1990s led to an increasingly multipolar system that has allowed Ankara to acquire weapons from multiple suppliers while opening potential export markets. Domestic politics also play a significant role in shaping the Turkish perceptions of the international system, although to a lesser degree.

To explore these themes, this report traces the roots of Turkish decision-making in arms procurement and development to the early years of the republic and the relative

Pakistan's PNS *Babur* corvette, based on Türkiye's MilGem design, and the Turkish Navy's TCG *İstanbul* frigate in Türkiye, 22 April 2024



(Muhammed Enes Yildirim/Anadolu via Getty Images)

freedom of the inter-war years (1919–38). It then describes how the bipolar international order that emerged after the Second World War led to alignment with the US. As the report shows, the 1960s, however, would expose the tensions between strategic alliances and national autonomy as the Cyprus Crisis revealed Türkiye's overreliance on the US in defence procurement. The crisis, including a series of official and unofficial arms embargoes, would have a profound impact on Turkish decision-makers and drove awareness of the need for self-sufficiency in arms

production. The paper will discuss how this spurred the foundations of today's defence industry in Türkiye, which has gone from a complete reliance on US equipment up to the 1970s, to greater international cooperation in the 1980s and 1990s, before then seeking to leverage arms deals to win hearts and minds in Europe and elsewhere more recently. Throughout these periods, as the report shows, we see the interweaving of the two distinct, but related, strands of Türkiye's foreign policy and defence industrialisation coming to the fore.

1. The Early Decades

Survival in a Multipolar World: Ottoman Legacies of the Early Republican Era

Modern Türkiye emerged as a nation-state in 1923, during Europe's inter-war period. The international order at the time reflected multipolar dynamics, with power and influence spread across a diverse number of actors. This provided Türkiye with relative autonomy in foreign policy. In contrast with its status in the late Ottoman period (1800–1914), during which it faced both internal threats from nationalist movements and external threats from major European powers, the young republic was content with the existing international order. It was therefore able to navigate Europe's volatile geopolitical landscape in acquiring arms, especially for its navy and air force, from all the major international actors of the period. The result was a diverse inventory of aircraft, naval vessels and armoured vehicles. Acquisition of modern defence hardware, albeit in modest quantities, was accompanied by investment in defence-industrial

capabilities to reduce dependence on foreign suppliers. Between the mid-1920s and the 1940s, defence industrialisation focused mainly on shipbuilding and aircraft industries, as reflected in the number of enterprises and facilities that were established during that period.³

During the Second World War, Türkiye followed a policy of active neutrality. This allowed it to avoid entering the war while seeking material and financial benefits from both sides. Barter deals involving raw materials for weapons were concluded with Nazi Germany until the last phase of the war. Simultaneously, sizeable equipment transfers were received from Britain in return for Türkiye positioning itself close to the Allies.⁴ However, it was not always easy to keep both sides happy. Although Türkiye wanted to stay out of the war at all costs, as the positions and goals of the warring parties shifted, so too did their expectations from Türkiye. As the balance on the battlefield eventually shifted in their favour, the Allied powers became increasingly frustrated as Türkiye continued trading with Germany.

A Turkish Air Force North American Aviation F-100D *Super Sabre* supplied by the US from 1959



(Dominique Berretty/Gamma-Rapho Via Getty Images)

Enter Bipolar World: Threats, Fears and Alignment

Although active neutrality shielded Türkiye from the devastation of war, it also distanced Ankara from the conflict's victors. Türkiye's relations with the Soviet Union had already begun to deteriorate in 1939. After the war, Josef Stalin's territorial demands from Ankara, coupled with Türkiye's economic and military weakness, heightened fears of imminent Soviet military action and blackmailing.⁵ Thus, immediate security concerns, combined with fears of isolation and abandonment, started to shape the country's strategic thinking. Consequently, Türkiye aligned itself with the US – a distant offshore balancer – against its revisionist Soviet neighbour. The alignment was facilitated by Türkiye's decades-long modernisation and Westernisation ambitions. Yet alignment was still a major policy shift from neutrality, and it had an immediate impact on the Turkish military as well as on the country's defence planning and acquisition.

The Economic and Technical Cooperation agreement, signed in July 1947 by Türkiye and the US, signified a major milestone for Türkiye's military build-up, and it would have a long-lasting impact on Türkiye's defence industry. To facilitate its military build-up, Türkiye received large amounts of surplus defence equipment, as well as training and technical assistance, from the US.

Though this led to an increasingly capable military, it would also hold back development of its own defence industry.⁶ The 1947 agreement with the US also impacted the country's national defence and security paradigms. This is because Article 4 of the agreement stated that Ankara was under no circumstances allowed to use US weapons or equipment without Washington's prior consent. There was no provision for Türkiye's national contingencies and its own defence goals and priorities.⁷

Despite the rapid influx of foreign weapons, achieving maintenance and production capability for military hardware was nonetheless kept on the agenda – as seen by the founding of the Ministry of National Defence (MND) Research and Development Department in 1959.⁸ In the early 1960s, the national desire to manufacture (or at least maintain) defence equipment was also demonstrated via the country's first Five-Year Development Plan issued in 1963, which contained the strategic goal of gaining a national aircraft maintenance capability. At the height of the Cold War, these policies amounted to the rediscovery of the importance of sustaining minimum defence-industrial capabilities, as well as representing the country's initial efforts to reduce its absolute reliance on foreign arms supplies. The importance of reducing this reliance would soon be dramatically made evident.

2. Lesson Relearned: Defence Industry Imperative for Autonomous Foreign Policy

In December 1963, intercommunal violence broke out on the island of Cyprus. At the time, Türkiye lacked the military capability to intervene. Moreover, the Soviet Union had declared its intention to defend the sovereignty and independence of the Republic of Cyprus. When Türkiye turned to the US for help, it received a stark rebuke from US president Lyndon Johnson.

In a letter to Turkish prime minister İsmet İnönü, Johnson reminded Türkiye that it could not use US-supplied military equipment without American consent. Johnson further warned that Ankara should not count on US assistance in the event of a Soviet military intervention and any ensuing conflict over non-NATO contingencies.⁹ As the entire inventory of the Turkish armed forces consisted at the time of US-supplied equipment, the Johnson letter effectively restricted Türkiye's use of military force to pursue its national interests.

The letter also opened the eyes of Turkish policymakers to the urgent need for independent national power-projection capabilities, the importance of diversifying arms suppliers, and the need to reinvest in the defence industry.

The 1964 Cyprus Crisis and the Johnson letter resulted in a moderate shift in Türkiye's foreign policy, with Ankara undertaking diplomatic efforts to enlist support for its position on Cyprus. The former position of relying heavily on the supply of US defence equipment was a legacy of Ankara's earlier uncompromising pro-Western stand. In this sense, the Cyprus Crisis set the framework for its multifaceted foreign policy. Moreover, the diversification of Türkiye's foreign relations could be pursued without damage to Türkiye's place within the Western security community, primarily because of detente between Eastern and Western blocs.

Starting from 1967, Türkiye sought to improve its relations with the Soviet Union through several industrial cooperation schemes. The 1967 military coup in Greece also brought Ankara and Moscow closer diplomatically as both were against *enosis* – Greece's political

union with Cyprus, which Türkiye considered annexation by the former of the latter.¹⁰ This multifaceted foreign policy, however, did not result in Türkiye turning to non-Western arms suppliers. Instead, it diversified suppliers within NATO, with new orders placed primarily with West Germany and Italy. To address its limited military capabilities, remedies were swiftly enacted and orders were placed for the most pressing power-projection assets – e.g., transport aircraft, helicopters and landing craft – for a possible military intervention in Cyprus. Many of these efforts involved resurrecting local defence facilities.¹¹

Though these orders provided a much-needed lifeline for military-operated support and maintenance centres, the finances to feed such expanded acquisition and industrialisation were not necessarily forthcoming. In times of financial strain, Türkiye has turned to public donations to support defence procurement and industrialisation projects. The Naval Support Foundation was the forerunner of donation campaigns to support naval procurement. The Land Force Support Foundation and Air Force Support Foundation were also established in the 1970s, with the Air Force Support Foundation explicitly supporting the building of an indigenous fighter. Yet public donations to these foundations were insufficient for the required financial outlays. Although the military pushed for new hardware and domestic production, Türkiye's political elites were not fully committed to such investment. Nonetheless, the early to mid-1970s saw the founding of two critical defence enterprises: TUSAŞ, now known as Turkish Aerospace Industries (TAI), established in 1973 for the production and maintenance of aircraft, and ASELSAN, established in 1975 to focus on military electronics. Those two entities, now mainstays of the Turkish defence industry, heralded the re-emergence of the national defence industry after an interruption of nearly 30 years.

In July 1974, the Greek junta engineered a *coup d'état* in Cyprus. When Türkiye could not convince the

US president Lyndon Johnson welcomes Turkish prime minister İsmet İnönü to the White House, Washington, 25 June 1964



(Keystone-France/Gamma-Rapho Via Getty Images)

United Kingdom – one of the three guarantors of the constitutional order on the island – to intervene, Ankara launched its own military operation. By that time, the Turkish military had incorporated a fairly large fleet of transport aircraft, helicopters and landing craft into its inventory. It had also constituted expeditionary forces such as marines, paratroopers and underwater-specialist units.¹² In July 1974, the first wave of landings took place. This was followed by a second military operation aimed at connecting the Turkish-controlled areas, with an eventual aim being the use of territory as a bargaining chip. However, unlike the first phase of the operation, which drew some legitimacy from the agreements behind the creation of the Cypriot republic, the second operation was not accepted by the international community and resulted in a significant diplomatic backlash against Türkiye. One of the strongest punitive reactions came from the US and took the form of a complete arms embargo imposed on the Turkish armed forces, which formally took effect in February 1975. Consequently, all grants, credits and sales to Türkiye involving US-made weapons came to a standstill.

Shock and Realisation

The embargo had a direct impact on the operational capabilities and readiness of the Turkish armed forces, especially on a Turkish Air Force completely dependent

on US spare parts. The combat readiness of aircraft, capital naval vessels, armoured vehicles and communication equipment quickly deteriorated.¹³ The Turkish government rushed to find alternative sources for spare parts, partially circumventing restrictions via other operators of US-origin equipment (e.g., Libya and Pakistan). In parallel, talks were initiated with several NATO countries to purchase new weapons and equipment. Among them were Canada, France, Germany, Italy and the UK. One of the immediate concrete outcomes was an order in 1975 for F-104S fighter aircraft, an Italian-assembled variant of the American F-104 *Starfighter* which was already in service with the Turkish Air Force. Similarly, second-hand combat aircraft and armoured vehicles were acquired from West Germany.¹⁴

Another direct reaction was to suspend the operations of US bases inside the country by moving them to ‘provisional’ status. At the time, 25 US bases on Turkish soil housed more than 15,000 American personnel.¹⁵ The embargo acted as a stark reminder that, despite decade-old efforts, Türkiye’s military remained almost absolutely dependent on US defence supplies. Building upon the trauma of the Johnson letter, this second shock underscored the need to reinvigorate the country’s defence industry if Türkiye wanted to pursue its own interests.¹⁶

The US arms embargo was progressively lifted, coming to an end in September 1978. Shortly afterwards, Türkiye ended the provisional status of American bases. This relief came at a critical juncture for American foreign policy, as the Shah regime in Iran, a crucial regional ally of the US, collapsed the following year. Following the Shah’s replacement by the Islamic regime of Ayatollah Khomeini, American military aid to Türkiye quickly resumed and large quantities of US military equipment began pouring in. However, having already learned its lesson, this time Türkiye remained firmly committed to developing its national defence industries.

Türkiye’s 1974 operation in Cyprus thus presents an interesting, and somewhat rare, case study whereby the acquisition of the appropriate military (force projection) equipment widened the range of options and room for manoeuvre for decision-makers in Ankara. In doing so, it directly influenced Türkiye’s foreign policy during that period. Arguably, the only other time

such a phenomenon presented itself previously was on the verge of the First World War, when the struggle to modernise the Ottoman navy played a role in their catastrophic decision to ally the empire with Germany, ultimately leading to the break-up of the Ottoman Empire.

Rebuilding Through International Cooperation in the 1980s and 1990s

As the detente between the US and the Soviet Union came to an end in the late 1970s, Turkish foreign policy also shifted. Türkiye sought closer relations with the US, while distrust of the Soviet Union rose following Moscow's invasion of Afghanistan. Developments in Türkiye's domestic political scene, with the military rule of 1980–83 followed by the liberalising economic and political policies of prime minister Turgut Özal, supplemented this westward shift. In this respect, the 1980s witnessed the beginning of a new period of ever-increasing engagement with the West.

An important pact for this shift was the Defense and Economic Cooperation Agreement (DECA) signed in 1980 between the US and Türkiye.¹⁷ Through DECA, the

US successfully reinstated its defence engagement in Türkiye to the levels preceding the 1975 arms embargo. This entailed greater access to military bases and intelligence hubs, as well as deployment of additional nuclear warheads.¹⁸ Türkiye tried to leverage DECA to advance its defence-industrial base. Accordingly, Ankara sought assistance from the US in manufacturing various defence items, including anti-armour weapons, fuzes, explosives and rockets. Assistance was also sought for the establishment of facilities for aircraft maintenance and armoured-vehicle upgrades, including main battle tanks. Ankara saw the monetary and technical assistance received under DECA as a vital means to alleviate the financial strain on Türkiye's already-vulnerable economy whilst also establishing a more capable defence-industrial base.

From 1983, Türkiye's defence-industrial model evolved under the premiership of Turgut Özal with the introduction of the joint-venture model. This provided the framework within which Western defence manufacturers were encouraged to team up with Turkish private-sector investors. As part of this model, Western

The TAI F-16 assembly plant in Türkiye, October 1988



Marc Deville/Gamma-Rapho Via Getty Images

manufacturers would bring in the required technologies and capital to co-manufacture their products in Türkiye. The effort was led by the *Peace Onyx* programmes, which began with kit-assembly F-16 fighter aircraft and their engines before graduating to fuselage and wing production and final assembly. The joint-venture model soon blossomed to incorporate armoured vehicles and a variety of defence electronics products, such as radios, radars and electronic warfare equipment. This shortcut to instant technology and know-how transfer from leading American and European defence contractors allowed the Turkish defence industry to begin accumulating experience, cutting-edge manufacturing methods and project management skills.

By the early 1990s, a variety of new joint-venture companies formed. Together with existing defence companies such as ASELSAN, TUSAŞ and HAVELSAN, and new state-led ones such as Roketsan, those enterprises constituted the building blocks of a modern, full-fledged defence industry. Gaining, then preserving, advanced defence-industrial capabilities has been a constant and uncompromised policy priority for each and every government ever since.

New Opportunities

The early 1990s also saw the formation of a new international order after the collapse of the Soviet Union drastically reconfigured European security dynamics. Accordingly, Türkiye sought to establish good relations with the newly formed Russian Federation. One obvious objective for Ankara was to increase economic cooperation and trade with Russia. Yet Türkiye also saw close and multi-layered relations with Moscow as a way to prevent Moscow from re-imposing its economic, political and military clout over the Black Sea, the Caucasus, and Central Asia. As for relations with the West, membership

in the EU became a key theme in Türkiye's post-Cold War foreign policy trajectory. In short, with the ending of the Cold War's bipolar order, Türkiye began to reach out to different regions and actors to pursue its national interests more freely. This pattern was also reflected in Türkiye's defence procurement and industry policies.

The end of the Cold War enabled Europe to reap the so-called peace dividend, while Ankara's ambitious military modernisation programmes continued unabated for two reasons. Firstly, the technology gap between Türkiye and its NATO allies had grown during the 1970s. Türkiye's new procurement and industrialisation programmes were meant to close that gap in military capabilities. Secondly, in contrast to many of its European allies, Türkiye began to face new security challenges in the form of growing regional rivalry with Greece in the Aegean and Cyprus. Türkiye also saw a revived threat from the Kurdistan Workers' Party (*Partiya Karkerên Kurdistanê*, PKK), which effectively took advantage of the power vacuum that emerged in Iraq after the 1991 Gulf War.

In a shrinking global defence market, Türkiye thus became a sought-after customer. However, its more autonomous and at times assertive foreign policy was not always approved of by its arms suppliers in the West. Nonetheless, the new international environment gave Ankara more options to buy defence equipment.¹⁹ Ankara could now shift between different suppliers and use defence procurement to supplement its foreign policy goals, in a fashion not too different from the practices of the Ottomans roughly a century before.²⁰ In retrospect, such increased flexibility created the environment for foreign policy, defence acquisition and industry to complement and reinforce one another, though Türkiye's record of complementing its foreign policy through arms sales was chequered at best.

3. Leveraging Arms Deals to Win Hearts and Minds

The 'Phantom Alliance': The High Point of Israel–Turkiye Defence Cooperation

In the second half of the 1990s, Israel became unexpectedly prominent in Turkiye's foreign relations and arms deals. Numerous factors combined to allow this. Firstly, with high-tech defence products compatible with NATO standards, Israel was a credible alternative supplier willing to engage in Turkish defence cooperation. Secondly, in stark contrast to many European states and the US, Israel was also prepared to cooperate without any strings attached, making it highly attractive politically.²¹ Thirdly, the overlap in critical areas of Israeli and Turkish regional threat perceptions meant Israel was seen as key to breaking out of this perceived hostile encirclement. Indeed, at one point, some even claimed that Ankara might find itself fighting Greece, Syria and the PKK simultaneously.²² Fourthly, defence and security cooperation with Israel reaffirmed the primacy of the Turkish military in domestic as well as foreign policymaking. The close partnership with Israel was masterminded by the Turkish military, although this would later be a source of embarrassment to Necmettin Erbakan's Welfare

Party (WP) during his premiership (1996–97).²³ Finally, improved bilateral relations with Israel were expected to be rewarded by pro-Israel supporters in the US Congress to counter the influence of Greek and Armenian lobbies.²⁴

Israel soon joined the ranks of Turkiye's top arms suppliers and became its most important security partner in the Middle East and Eastern Mediterranean. Cooperation was particularly effective in upgrading Turkiye's inventory of US-built military hardware, such as the F-4E *Phantom* II fighter-bomber aircraft, the AH-1F/P *Cobra* attack helicopters and the M60A1/A3 *Patton* main battle tanks. The F-4E upgrade programme symbolised the nature of the relationship between Ankara and Tel Aviv, as 'the Phantom Alliance'.²⁵ From the outset, contracting Israel Aerospace Industries (IAI) for the Turkish F-4E upgrade programme was also meant to convey a strong deterrent message to Damascus regarding its support for the PKK.²⁶ The F-4E deal remains the highlight of Turkish–Israeli defence-industry relations in the 1990s. For instance, unrestricted access to the upgraded F-4E *Terminator*'s mission computer subsequently enabled Turkiye to develop, test and produce its own family of smart munitions, as well as air-to-air and air-to-ground missiles. Although the Israeli defence-industry connection gave Turkiye much-needed breathing space at the time of Western arms embargoes, it did not survive the first decade of Justice and Development Party (*Adalet ve Kalkınma Partisi*, AKP) rule and its foreign policy of 'Zero Problems with Neighbours', which sought to end decades of estrangement with Turkiye's neighbours.

A convoy of Turkish M60T tanks operating in Syria, 19 February 2020



(AREF TAMMAWI/AFP via Getty Images)

The ATAK Project

Turkiye's ATAK attack helicopter project offers another interesting case study on how oscillations in foreign policy have affected defence-procurement decisions. In 1996, a Request for Proposals (RfP) was issued for 145 attack helicopters through license production. Though unconfirmed, it is likely that the ATAK project was launched after the US government proved reluctant to seek congressional approval for



(Mehmet Murat Onel/Anadolu Agency/Getty Images)

an additional batch of ten AH-1W *Super Cobras* for the Turkish Army.

All major manufacturers expressed interest in the ATAK project, but only five companies responded to the RfP by 1998. These were Bell-Textron and Boeing from the US, offering the AH-1Z *King Cobra* and AH-64D *Apache Longbow*, respectively; Italy's Agusta with the A129 *Mangusta*; Eurocopter of France/Germany offering *Tiger*; and Kamov/IAI from Russia and Israel offering a modified version of Ka-50-2 in tandem configuration with westernised avionics.²⁷ South African Denel considered competing with its CSH-2 *Rooivalk* but stayed out of the tender due to a South African government ban on arms exports to Türkiye.

Political considerations materially downgraded the likelihood of success for European manufacturers. First, the German government imposed restrictions on *Tiger* during the demonstration phase, as Berlin sought to enforce pre-existing arms restrictions on Türkiye. There were also problems with the A129 *Mangusta*, which failed in firing trials. However, this problem paled in comparison with an unexpected and sudden decline in Italian-Turkish relations. These deteriorated rapidly in 1998 when Abdullah Öcalan, leader of the PKK, was given temporary refuge in Italy after his extradition from Syria.

Despite these problems, European helicopter manufacturers were not ousted from the competition. A major factor in this appears to be Türkiye's desire to maintain support for its bid for EU membership, while also tempting potential suppliers with lucrative contracts.²⁸ In December 1999, Türkiye was finally declared an EU candidate. Among other things, leveraging arms deals may have paid off in helping secure the candidacy.

Becoming an EU candidate also dramatically changed Türkiye's international status and justified termination of remaining arms restrictions imposed on it. However, improved relations do not always translate into successful deals. In March 2000, prime minister Bülent Ecevit announced that both Boeing AH-64D *Apache Longbow* and Eurocopter *Tiger* failed to qualify for selection on the grounds of cost-effectiveness. This decision was officially protested by French president Jacques Chirac who cancelled an official visit to Ankara. In this case, attempting to leverage an arms deal had backfired.²⁹

Ironically, Ankara would court two US manufacturers and a Russian/Israeli entry to get around the US refusal to sell *Super Cobra*. In July 2000, Bell-Textron's AH-1Z *King Cobra* was picked as the winner, followed by the Kamov/IAI Ka-50-2 *Erdoğan* and the Agusta A129 *Mangusta* in second and third place. Yet negotiations with Bell-Textron dragged on for years due to a disagreement over

Turkish access to the helicopter's mission computer. In 2004, the project was officially cancelled. It was revived in 2006 as ATAK II, albeit for 91 units instead of 145.

The change in Türkiye's status was evident in the second iteration of the ATAK project. Although it failed to attract US defence manufacturers, Kamov, Eurocopter, AgustaWestland and Denel made bids. AgustaWestland and Denel – with the A129 *Mangusta* and CSH-2 *Rooivalk*, respectively – emerged as the strongest contenders and were shortlisted. In 2007, the contract was finally awarded to AgustaWestland. Arguably, this was to reward Italy's support for Türkiye's bid for the EU membership under prime minister Silvio Berlusconi, with whom Turkish prime minister Recep Tayyip Erdoğan had developed close personal relations.³⁰

Türkiye's short-lived European moment did not begin in 1999, but in 2003. After the terrorist attacks on New York and Washington on 11 September 2001, US interventionist policies in Türkiye's neighbourhood transformed the US from a distant offshore balancer to a proximate risk factor, even a source of threat. At the same time, Türkiye's strategic interests began to converge less with the Atlanticist pillar of the transatlantic alliance and more with the European pillar. For example, Ankara refused to get involved in the US invasion of Iraq in 2003 and ended up on the same side as 'old Europe', which emphasised soft power and multilateralism in international politics in stark contrast with the American choice for hard power and unilateralism.

This strategic realignment with Europe, either by choice or by necessity, had implications for Türkiye's domestic politics as well. It helped prime minister Erdoğan instrumentalise Türkiye's EU accession to curb the role and influence of the military in foreign policy. The consequent power shift turned defence industry decision-making on its head, with elected civilian authorities making the calls.³¹ This European momentum in Turkish foreign policy and domestic politics worked to the benefit of European defence companies, while Turkish–American defence-industry relations hit an alarming all-time low.³²

The Supply Side of Türkiye's Role in the Global Arms Trade

A new phase of Türkiye's defence-industrial development began in the mid-1990s with Ankara transitioning from being solely an importer to an arms exporter as

well. For the first time, Türkiye's defence industry and its exports were used to help push foreign policy objectives, and they were relied upon to develop and deepen relations with several states.

Türkiye's first exports included the sale of armoured vehicles and rocket artillery to the United Arab Emirates (UAE). Turkish defence contractors also sought to increase their footprint in politically important areas. For instance, Azerbaijan and Georgia began receiving significant military training, technical assistance and second-hand defence items. Azerbaijan, in particular, became a leading customer of Turkish defence products, including artillery rockets, armoured vehicles and military communication gear. These deals closely aligned with Türkiye's wider foreign policy objective to balance Russia in the Transcaucasus region.

In the Middle East, Türkiye consolidated its relationship with the UAE through more orders of tracked armoured vehicles, rocket artillery systems and patrol boats. Türkiye also provided training support for the UAE's transition to US-made F-16 fighters. Likewise, export orders and licence-production schemes with Pakistan, which were induced during the late-1980s, continued to expand throughout the 1990s, and in a manner that elevated already-strong diplomatic relations. Yet, taking into account its close partnership with Pakistan, Türkiye shied away from cooperating with India in the defence field or trying its luck in the lucrative Indian defence market. This was perhaps the first time that Türkiye found itself having to make hard decisions on its choice of defence partners.³³

With early successes, the potential for export orders soon became an important criterion for prioritising and developing diplomatic and military-to-military relations. Among these export successes are Algeria, Indonesia, Jordan, Kuwait, Malaysia, Oman, Qatar, Saudi Arabia, Tunisia and the UAE. In short, the prospects for export orders began to exert an influence over foreign policy. However, it was not long before the unintended consequences of this shift became apparent.

The 1992 sale of Turkish-assembled F-16s to Egypt was an eye-opening example of adverse repercussions and complications. In this deal brokered by the US, TAI, a joint venture between TUSAŞ and Lockheed Martin, was responsible for the final assembly and testing of the

aircraft. However, TAI's liability for offset obligations came as a surprise. Cairo's expectation that Ankara would also buy Egyptian defence products also irritated bilateral relations. The impasse was only overcome when the Turkish military was forced to place an order for Egyptian-assembled cross-country vehicles, despite lacking any such need.

Beyond increasing exports, Türkiye's defence-industry development also incorporates Ankara's desire to diversify its defence-industry partners and find alternatives to the Western suppliers. In the immediate aftermath of the Cold War, one such opportunity presented itself with Kazakhstan, which inherited valuable defence manufacturing and technological capabilities from the Soviet Union. Ankara made extensive efforts during the 1990s to improve its economic and diplomatic relations with Kazakhstan. Though Ankara was unsuccessful in gaining access to new technologies, it nonetheless laid the groundwork for future cooperation, such as the Kazakhstan Aselsan Engineering joint venture that produces electro-optical and night-vision systems for armoured vehicles.³⁴ Other efforts to extract defence-industrial and technological benefits from former Warsaw Pact and Yugoslav republics also saw few, if any, concrete results.

In another initiative that resulted in embarrassing failure, the Islamist Erbakan's WP-led coalition in 1996–97 set its sights on jointly developing an aircraft with Islamic states of the D-8 Organization for Economic Cooperation. Members include Bangladesh, Egypt, Indonesia, Iran, Malaysia, Nigeria, Pakistan and Türkiye. Türkiye's TAI developed the prototype at its own expense, but no other D-8 member showed any interest.³⁵

During the same timeframe, Türkiye also sought to improve its defence-industry cooperation with other states, such as China, Israel, South Africa and South Korea. South Africa turned out to be a disappointment due to frequent diplomatic spats over the Kurds. Despite high expectations, cooperation with China remained confined to Türkiye acquiring technological and design assistance for domestic production of artillery rockets and short-range ballistic missiles.³⁶ However, after rooting its defence capabilities in Western standards and procedures, the Turkish defence industry soon encountered difficulties working with Chinese technology.

Chinese industrial culture and processes were found to be incompatible, even inferior. This detrimental factor revealed itself again in the mid-2010s, when Türkiye was forced to backtrack on co-producing China's FD-2000 (HQ-9) long-range surface-to-air missile system.³⁷

Conversely, initiatives targeting South Korea were more productive, so much so that over the course of the subsequent decades Seoul became Ankara's principal non-Western defence-industry partner and weapons supplier. Similarly, defence-industry cooperation and arms supplies from Israel to Türkiye drove Turkish-Israeli relations during the 1990s and 2000s, so much so that Israel came to rival European and US contractors in Türkiye's defence procurement during that period. The presumption that Israeli contractors operated free of technology-transfer restrictions and embargoes led many to welcome and treat Israel as the alternative defence supplier that Türkiye had long sought. Yet the illusion ended abruptly in 2009, when escalating tensions and the poisonous rhetoric of the top political leadership on both sides brought an end to all defence-industry and procurement transactions.

In analysing Türkiye's attempts during the 1990s to take advantage of the favourable international environment, two important observations stand out: firstly, despite extensive efforts to diversify, Türkiye never contemplated breaking its strong ties with the West, as defence contractors from NATO states remained the leading partners. Secondly, Russia never played a prominent role in Türkiye's search for alternatives. Sporadic purchases of Russian equipment – e.g., BTR-80 armoured vehicles, Mi-17 *Hip* utility helicopters, sniper rifles – were not due to choice but happened as barter deals aimed at closing Russia's outstanding debt to Türkiye.³⁸ Several attempts at promoting cooperation between defence industries did not even come close to fruition, due among other things to Russian hesitancy and rigidity toward Türkiye's technology-transfer preconditions.

Besides seeking out bilateral channels, Türkiye also sought to join multinational defence programmes in the 1990s to sustain defence-industrial growth and diversify supplier relationships. Those schemes kept Türkiye within Western supply chains and allowed for the transfer of valuable know-how and technologies that would otherwise be more difficult to access through bilateral



(Ali Haydar Akkus/Anadolu Agency via Getty Images)

interactions. Besides, as decisions were taken through the consensus of several participating states, international programmes brought the additional benefit of minimising the risk of export restrictions and embargoes triggered by a single supplier's rushed, arbitrary and capricious decisions.

An early example is the 1989 European Stinger Project Group, which Türkiye joined as a major partner. This multinational cooperation helped Türkiye to set the foundations of its rocketry and missile industries around Roketsan. The deliveries continued unhindered during the subsequent three decades, when most other contracts signed on a bilateral basis faced serious challenges. Türkiye's keen interest in multinational programmes reached its apex in the late-1990s when Ankara committed to buy the A400M after having been involved in discussions on the European Future Large Aircraft project since the start of the decade. While the programme resulted in the 2013 delivery of A400M heavy transport aircraft to the Turkish Air Force, this valuable foothold in a European programme was also used to promote Türkiye's bid for EU membership and what it argued was its solid stake and harmonious presence inside Europe.

Despite Europe growing in value as a defence-industrial partner, the US nonetheless preserved its status as the leading partner. Indeed, from the

late-1990s onwards, the most important element of the US-Turkish defence cooperation centred on the Joint Strike Fighter (JSF) programme – another international cooperative scheme which eventually led to the F-35 combat aircraft. After Türkiye formally joined the programme's Concept Demonstration phase in 1999, the programme soon transitioned into its next phase. Accordingly, from 2002 onwards, Türkiye became a Level III participant with significant development and production responsibilities. Participation in the JSF programme drew on Türkiye's desire to take part in the design and development of a cutting-edge fighter aircraft from scratch. It also generated a more substantial workshare for Turkish industry than the previous 'nuts and bolts' type of licence assembly of Turkish F-16s. It also minimised the probability of a US embargo of this critical and highly strategic modern combat plane.

During the subsequent two decades of cooperation, JSF generated the additional benefit of becoming a showcase of successful and mutually beneficial defence cooperation. It depicted strong and harmonious US–Turkish defence relations, even when these were not necessarily the case. In short, JSF became another axis for Turkish foreign policy and a medium to mend increasingly troubled US–Turkish defence relations.

4. The Multipolar Order and the Expansion of the Defence Industry

Turkish Foreign Policy Under the AKP

In 2002, the AKP rose to power. This did not have an initial impact on the trajectory or conduct of Turkish foreign policy, although the party would soon oversee a more defiant and volatile foreign policy. The gradual shift to a new, more multipolar world order would contribute to this new outlook.

By the 2010s, as the AKP grew in confidence, Türkiye aspired to exert ever-greater influence over its regions of interest: the Eastern Mediterranean and Levant, the Horn of Africa, North Africa, the Sahel and Transcaucasia. This more proactive, assertive and defiant foreign-policy trajectory gave rise to divergent agendas and, at times, dangerous confrontations. Although Türkiye frequently clashed and quarrelled with Russia, China and a whole variety of regional actors, disputes with the country's Western allies, and especially the US, garnered the most attention. This was driven by diverging interests and policy agendas, but also differing threat perceptions.³⁹

With respect to the defence industry and acquisitions, Türkiye under the AKP continued to seek self-sufficiency. Contrary to the general perception in the rest of Europe and the US, this goal was not pursued in isolation from the Western defence ecosystem. Indeed, relations with Western counterparts at the main platform, system and subsystem levels continued unabated. Yet there were shifts in how Türkiye approached defence-industry development. From 2004 onwards, the model of joint ventures with foreign partners was abandoned in favour of local prime contractors being chosen to pursue so-called indigenous products and solutions. Notably, some of those local projects incorporated technological and industrial partners from the West, plus partners such as South Korea.

The importance attached to international programmes remained steady, but Türkiye had limited success in joining them. This stemmed, in part, from Türkiye's volatile foreign policy, reinforced by the AKP's virulent

rhetoric. The only exception in this regard – a 2018 teaming between French, Italian and Turkish companies to develop Europe's next-generation missile defence systems – fell prey to French unease over Türkiye's actions in Syria and the Eastern Mediterranean.⁴⁰ To make matters worse, Türkiye's implacable insistence on purchasing the standalone⁴¹ S-400 air-defence systems from Russia resulted in Türkiye's expulsion from the F-35 JSF programme. The expulsion had particular symbolic significance, as the project had been presented for decades as the bulwark and proof of strong American–Turkish defence relations. There were also material impacts, as the Turkish defence industry lost an industrial mainstay upon which several key development and production projects were built.

Peaking Defence Exports

Throughout the 2010s, multiple projects aimed at developing indigenous designs and products began to yield concrete results. The newly available platform and system solutions provided the Turkish military with cutting-edge capabilities tailored to its needs. Additionally, several of those indigenous solutions proved attractive among export customers, for several reasons.

Firstly, they reflected Türkiye's accumulated military experience fighting the PKK in diverse (mountainous to desert to urban) environments. Turkish-made uncrewed aerial vehicles (UAVs) such as the *Anka* and *Bayraktar TB2*, direct-attack munitions and a wide range of armoured-vehicle designs could therefore claim to be battle proven. Secondly, Türkiye adhered strictly to NATO standards in developing and producing those systems, which reflected on the performance and quality standards and ensured superior and reliable solutions over non-Western alternatives (e.g., Chinese or Russian). A third factor was the relative cost efficiency of Turkish defence solutions. A fourth element was effective and quick after-sale support, as well as training provided prior to and after delivery. And fifthly, Turkish defence products were offered with few or no political strings attached.

Turkish authorities applied export restrictions, but those related predominantly to determining which states could receive Turkish defence equipment rather than restrictions on specific types of equipment. Indeed, there are examples of exports being denied or suspended, including the non-delivery of MRTTP 20 patrol boats to Egypt following the 2013 coup there. Turkish authorities insist the Ministry of Foreign Affairs (MFA) has in place strict case-by-case internal checks and reviews.⁴² But, bearing in mind the silence of Turkish authorities in the face of criticisms about Turkish-supplied UAVs being used against non-combatants in Ethiopia, Mali, Somalia and elsewhere, it is questionable if Türkiye has the proper legislation or enforcement mechanisms to restrict how, where and against whom the recipients can use their Turkish-supplied equipment.⁴³ If not properly addressed and regulated, the perception of the unrestricted and unregulated provision of Turkish weaponry may become a liability and hinder Turkish foreign-policy goals.

Such criticisms notwithstanding, the growing capability and exports of the defence industry provide Türkiye with greater leverage in its foreign policy. One dimension of such augmented influence involves Turkish defence contractors such as ASELSAN setting up joint-venture companies. Several such entities, aimed at providing technical and technological assistance and carrying out joint or license production, have been established during the last two decades in Asian, Middle Eastern and North African states. Among those are Azerbaijan, Jordan, Malaysia, Pakistan, Saudi Arabia and the UAE. Besides ASELSAN, armoured-vehicle manufacturer

FNSS and system integrator STM display a willingness to share their expertise and industrial capabilities with their export customers by offering substantial in-country workshare when required. Consequently, as interest in Turkish defence products soars, the production and technology/know-how transfer outlets providing the recipients with significant benefits also function as soft power instruments. In doing so, they present Türkiye with a golden opportunity to take advantage of arms exports to advance its foreign-policy goals and agenda. This observation applies particularly to the export of UAVs to recipients across Africa, Central Asia and the Middle East.

Accordingly, Qatar – Türkiye's closest ally in the Middle East – became the inaugural export customer of Turkish-made UAVs. The partnership began in 2012 when Qatar ordered hand-launched mini-UAVs from Baykar, followed by procurement of six *Bayraktar* TB2 armed UAVs in 2018. This marked TB2's first export success, and the transaction resulted in rapid development of bilateral relations against the backdrop of Qatar's isolation by Saudi Arabia and the UAE. Qatar and Türkiye developed a close alliance, expanding into political, economic and military spheres incorporating other defence hardware, such as naval vessels and land vehicles.

In January 2019, Ukraine became the next customer of Turkish UAVs. Following the delivery of six TB2s to its air force in March 2019, an additional order was placed for the Ukrainian navy. Thus, Türkiye became one of the first NATO members that delivered lethal military equipment to Ukraine before the Russian invasion. Meanwhile, Ukraine contributed to Türkiye's defence projects with its robust engine industry: Ivchenko Progress provided turboprop engines for *Bayraktar Akıncı* heavy-combat UAVs, while another Ukrainian company, Motor Sich, signed a contract for turboshaft engines destined for TAI's T929 ATAK II attack helicopter.

In 2020, Libya and Azerbaijan also acquired TB2 UAVs, although the specific quantities remain undisclosed.⁴⁴ The introduction of armed UAVs in both countries significantly influenced the political and strategic landscapes and altered the course of conflicts in both cases.

Throughout the 2020s, Türkiye's defence exports saw a rapid surge, with Turkish-made UAVs prominently featured, garnering attention for their effectiveness

Ukrainian soldiers push a *Bayraktar* TB2 at the Kulbakino air base during Exercise Sea Breeze 2021, 30 June 2021



(Nina Liashonok/ Ukrinform/Future Publishing via Getty Images)

in conflicts in Idlib, Syria; Libya; Nagorno-Karabakh, Azerbaijan; the Russia-Ukraine war; Tigray, Ethiopia; and beyond. Additionally, UAV exports to several Eastern European NATO allies bolstered Türkiye's position within the alliance and provided significant leverage in its otherwise strained relationship with some allies.

Early 2021 saw an expansion of Türkiye's UAV exports. Tunisia signed a contract for *Anka-S* UAVs, followed by reports of Morocco ordering *Bayraktar* TB2s. Additionally, Hungary displayed notable interest in Turkish systems, and Poland signed a contract for TB2s. The latter's purchase was Türkiye's biggest defence export to a European state at that time. The Polish order for TB2s coincided with Türkiye's application to participate in a project to supply Ukraine with UAVs through the Permanent Structured Cooperation, a framework for EU-wide defence and security cooperation. Yet Cyprus, France and Greece vetoed this offer.⁴⁵ Nonetheless, examples such as this one clearly illustrated the worth of defence exports at the service of foreign policy at bilateral as well as multilateral levels. Interestingly, whereas defence-equipment orders traditionally serve foreign-policy objectives, the use of defence exports to influence foreign relations signified a dramatic turnabout in the interaction between foreign policy and defence trade and industry. However, this reversal of fortunes came with risks and the potential for grave mistakes.

Having experienced remarkable expansion in defence exports, industry and authorities are under intense pressure to sustain this growth. The pressure to export at all costs risks negative repercussions in bilateral relations with certain states. It also carries the danger of tainting Türkiye's image internationally. Hence, the imperative to balance increased sales with the preservation of Türkiye's bilateral ties and favourable image. In this sense, supplying weapons to one party risks damaging relations with its rivals. Examples abound of Türkiye finding itself in the middle of conflicts – such as Ethiopia-Tigray-Egypt, Morocco-Algeria, and Tajikistan-Kyrgyzstan – as a result of its UAV exports.⁴⁶

To make matters worse, not all Turkish policymakers and decision-makers – especially those with purely political, non-defence professional backgrounds – are in a position to grasp the direct linkage between defence exports and the responsibility of exporting governments.

This danger is evidenced by a former Turkish foreign minister suggesting that, as *Bayraktar* TB2 UAVs are produced by a private company, they did not constitute arms sales between the Turkish state and the recipient countries. This position ignores the fact that, through legislation and procedures, the ultimate responsibility for aligning defence exports with foreign-policy goals rests with the Turkish MFA. Although the MND processes the military aspects of transfers, in practice the Defence Industries Agency (*Savunma Sanayii Başkanlığı*, SSB) oversees defence-technology aspects, especially if local production or transfer of technology are involved. Senior officials have affirmed rigorous enforcement of this process, whereby the final decision on which states should receive Turkish defence products is made by the MFA.

However, there may always be instances in which this is not the case, particularly concerning defence contractors with close ties to the government and its top leadership. The sale of UAVs and other defence systems to Ukraine before and after the start of the war with Russia in 2022 may have been the result of calculated deliberations, yet it is difficult to ascertain that all UAV exports take place with the knowledge and consent of all relevant authorities and organisations.

With an increasing number of defence contractors with intimate ties to Türkiye's ruling party⁴⁷ – combined with overwhelming pressure from the government, public and industry to export ever more – the integrity and effectiveness of the export-control mechanism is at risk of being compromised.⁴⁸ Consequently, there is a risk that a rapidly growing defence industry may exert an oversized influence on foreign policy and lead to detrimental outcomes for the country's foreign-policy goals and national interests.

A related risk concerns the overconfidence caused by cutting-edge indigenous defence equipment reaching maturity. Should this foster perceptions that conflicts are swift and of low cost, it could encourage greater militarism and adventurism by emboldened militaries and publics alike. Indeed, Ankara's conduct of foreign policy in the late-2010s went through a more militarised and assertive phase, which became particularly visible in disputes over the Aegean, Eastern Mediterranean, Libya and Syria.⁴⁹ Fortunately, after realising the extent of adverse repercussions and complications, Ankara soon reversed its policy.

Another example of how Türkiye's defence industry and foreign policy are intertwined concerns export and technology restrictions, including official and unofficial embargoes. Ever since the 1975 US arms embargo on Türkiye, Turkish decision-makers have claimed a sense of injustice resulting from their treatment by allies. More insidious, perhaps, are examples of concealed US restrictions on the sale of certain categories of equipment and capabilities since 2003. These have seriously strained bilateral relations between Türkiye and the US.

Beginning with the US invasion of Iraq, Türkiye and the US have had increasingly divergent positions and objectives on issues such as the status of the Kurds – first in northern Iraq, then in northern Syria. The first signs of US foot-dragging began to emerge in response to Türkiye's requests for weaponised UAVs (*Predator* and *Reaper*) for use against the PKK inside and across Turkish borders. Whereas similar UAVs were already supplied to the UK, the US kept Türkiye's request in limbo for years and cited the restrictions imposed by the Missile Technology Control Regime. This did nothing other than fuel Turkish scepticism of Washington's support for Ankara's fight against the PKK.

A more dramatic test came in 2013, when Ankara selected a Chinese contractor for a multibillion-dollar air- and missile-defence tender. This decision overlooked foreign-policy and alliance dimensions, and it also neglected the challenges of technology transfer from a non-Western supplier.⁵⁰ Both NATO and a number of allied states led by the US were furious. NATO's outright refusal to integrate Chinese systems into the Alliance's joint air/missile defence architecture, as well as threats of sanctions against the Turkish defence industry, forced Ankara to cancel the deal. The episode undermined Türkiye's foreign-policy stature with no political, financial, operational or industrial benefits. More gravely, Western perceptions toward Türkiye shifted, marking the beginning of a loss of confidence in AKP leadership among Türkiye's NATO allies which, fueled by other policy disagreements, has not recovered.

In retrospect, it could be comfortably argued that Türkiye's decisions to buy defence equipment and its desire to further develop its defence industry no longer provided leverage in the service of its foreign policy. Instead, spats over defence equipment began exerting negative influence over bilateral relations. To make matters worse, US–Türkiye, as well as NATO–Türkiye, relations proceeded

poorly during this period over divergent policy agendas and interests in the Eastern Mediterranean, Libya and Syria. Therefore, particularly for US–Turkish relations, tensions at the foreign-policy level were also harming defence trade and defence-industry cooperation. Hence, a vicious cycle of adverse foreign-policy and defence-policy tensions have further damaged the relationship.

Although frictions between Türkiye and the US were still manageable, the Turkish decision in 2017 to buy S-400 missile systems from Russia was the proverbial 'straw that broke the camel's back'. Even when factoring in Türkiye's perception of a multipolar international system, and acknowledging the AKP leadership's loss of confidence in its Western allies in the immediate aftermath of the July 2016 coup attempt, the S-400 decision was difficult to comprehend and justify. Based on their similar experience with a Chinese system only four years ago, Turkish decision-makers should have been aware of the political and operational complexities of their decision, and the ways in which it could jeopardise Türkiye's defence cooperation with the West.

Conventional wisdom suggests that the Turkish government's insistence on a standalone configuration, coupled with the absence of any benefits for the Turkish industry – marking the first such deal without industrial cooperation or workshare in over three decades – could be attributed to political deliberations and judgments overriding operational and industrial realities. In other words, this decision reflected the ultimate prioritisation of foreign-policy considerations over operational and industrial factors. Consequently, Türkiye's political gains (if any) aside, the consequences were dire for Türkiye's defence industry. Being expelled from the F-35 programme cost Turkish industry significantly, with some estimates suggesting over USD12 billion in lost revenue.⁵¹ The wider loss of opportunities and capability resulting from being excluded from the largest and most prestigious Western defence-industry programme cannot be calculated. Furthermore, the S-400/F-35 episode has proven that multilateral projects did not provide watertight guarantees against sanctions and embargoes when faced with extreme circumstances such as buying a strategic system from a rival state. A project that could have been cited as the basis of strong American–Turkish relations has thus become a major liability between the two countries.

Conclusion

Turkiye's foreign- and defence-policy changes were based on shifts in international systems and domestic power distribution. Following the founding of the republic in 1923, the country's orientation towards the West remained not only a political and strategic choice, but a manifestation of an all-out effort to westernise the country by the Republican elite. It constituted the external aspect of a herculean effort to transform the state, society and politics. During the inter-war period, those elites considered 'the West' to be Europe, primarily. And the political elite pursued admission into the European state system as a means to achieve security. After the Second World War, the US gradually replaced Europe as the centre of Türkiye's westernisation efforts. Consequently, Ankara sought an organic presence in the US-led transatlantic security community.

For much of the Cold War and beyond, Turkish strategic choices incorporated strong Atlanticist tendencies. As the Cold War ended, Ankara enjoyed a rather brief 'European' moment when the Turkish Parliament voted down a motion that would have allowed the US to deploy troops on Turkish territory for its 2003 invasion of Iraq. The 2008 global financial crisis significantly weakened the West's appeal as an economic, political and strategic centre. This came at a time when a new political elite with Islamist roots was on its way to consolidating its hold on power in Türkiye. Devoid of westernisation as an ideological driver, Türkiye's foreign policy was marked by a shift away from institutional links to pragmatic, transactional and highly personalised interaction with the West. Consequently, the ebb and flow in Türkiye's relations with the West had immediate ramifications for its foreign policy, strategic choices and arms acquisition.

Since the 2000s, Türkiye's perception has been that the international system has gradually become more multipolar as power has shifted towards Asia, and as Russia and China have emerged as challengers to the so-called rules-based international order. As a result, Türkiye has perceived that good relations with Russia

and China are an opportunity to expand its autonomy in foreign policy and pursue national interests without fearing abandonment by its Western allies.

This fear of abandonment has also been alleviated by the expansion of Türkiye's defence-industrial capacity. In this regard, the multipolar system has provided both opportunities and risks. Türkiye uses availability of willing partners to prop up its defence-industrial capabilities, as it did during the inter-war years. During the bipolar world of the Cold War, Türkiye had initially given up on its defence-industrial development in line with its absolute dependence on the US. This proved to be a short-term choice, even though it would have been difficult to find a willing partner to help Türkiye develop its indigenous defence-industrial capacity after the Second World War. The abandonment by the US during the Cyprus Crisis was a wake-up call with respect to defence industrialisation. However, progress was modest until willing partners emerged in the 1980s. Ironically, one of those partners was the US. As the defence-industrial capabilities of Türkiye improved, Ankara began to use the opportunities presented by the new multipolar world order. This explains why Türkiye did not see any problem in cooperating with China or buying weapons from Russia.

However, the war on Ukraine has again significantly altered Türkiye's perceptions of the international system. Although Türkiye's relationship with Russia and China began with the ascendancy of the new political elites in Türkiye, the war on Ukraine has undeniably narrowed Türkiye's options. Türkiye responded by embracing its traditional Western allies, while keeping Russia at arm's length. This shift was also reflected in defence-industrial relations. Before the war, Turkish officials could openly express the possibility of defence-industrial cooperation with Russia. That has become a counterproductive statement. Hence, Türkiye's interest has grown in defence-industrial cooperation and programmes run under the auspices of NATO, or other mechanisms such as the Organisation for Joint

Armament Cooperation. Combined with its financial difficulties, Türkiye is seeking to mend its foreign policy and defence-industrial relations with its Western partners. While Europe is likely to take precedence in this new endeavour, a recovery in relations with the US cannot be ruled out. A promising sign was congressional approval in January 2024 of Türkiye's request to buy 40 new F-16C/D Block 70 aircraft and 79 *Viper* upgrade kits for existing F-16s. This will be the first major defence deal between Türkiye and the US since the decision to expel Türkiye from the F-35 programme.

It should be noted that two issues remain as potential obstacles on the way to further normalisation in Turkish-American defence and defence industry ties. The first one is the uncertainty arising from the S-400 systems purchased from Russia. The US Congress regards them as an impediment to further progress in bilateral

relations. The obstructive role that the US Congress consequently played in the recent F-16 order constitutes the second major impediment. The F-16 experience caused exasperation and fatigue in Ankara, which may no longer view buying American defence products as worth the hassle of the congressional approval process.

Alternatively, if Türkiye and Europe (not necessarily the EU) could redefine their relations by adjusting to the new geopolitical landscape, this may unlock the huge potential for defence-industry cooperation, which would be mutually beneficial. Considering France's initial firm stand against letting the EU harness the Turkish defence industry in its efforts to beef up Ukrainian military capabilities, such cooperation stands a better chance either within the institutional context of NATO or on a bilateral basis with individual European countries within or without the EU.

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